VENDORGATE

Vendor Onboarding and Purchase Order Portal

STATEMENT OF WORK (SOW)

Case Study No. 88

Document Attribute	Details
Document Type	Statement of Work (SOW)
Project	VendorGate – Vendor Onboarding and Purchase Order Portal
Case Study	Case Study No. 88
Organization Context	Mid-size pharmaceutical distributor
Vendor Base	850 vendors
Primary Stakeholders	Vendors, Procurement, Finance, Audit
Version	1.0
Status	Draft / Academic Project Submission

1. Project Overview

VendorGate is a proposed centralized portal for vendor onboarding and purchase-order management for a mid-size pharmaceutical distributor working with 850 vendors. The project addresses a current process in which vendor registration documents are sent by email and purchase orders are raised in Excel and approved on paper.

The project will define and demonstrate a controlled digital workflow for vendor registration, document verification, purchase-order creation, approval-limit routing and vendor acknowledgement.

2. Business Need

The current process is fragmented across email, Excel and paper approvals. The audit team also found 34 purchase orders approved above the approver's limit last year. VendorGate is therefore intended to provide centralized process control, approval-limit enforcement and traceability.

3. Objectives

- Centralize vendor registration and vendor documentation.
- Provide a controlled process for document verification.
- Centralize purchase-order creation.
- Route purchase orders according to defined approval limits.
- Prevent approval by an authority whose applicable limit is insufficient.
- Allow vendors to acknowledge purchase orders.
- Improve auditability and traceability of vendor and PO activities.
- Resolve the Procurement–Finance–Audit ownership conflict through explicit governance roles.
- Produce the case-study requirements, UML, project-management, testing and risk-management deliverables.

4. Scope of Work

4.1 In Scope

- Vendor registration process.
- Submission and verification of the required vendor documentation.
- Purchase-order creation and management.
- Approval-limit based PO routing and authorization control.
- Vendor acknowledgement of purchase orders.
- Auditability and traceability.
- Stakeholder analysis, communication and RACI.
- Requirements engineering and MoSCoW prioritization.
- UML/system design documentation.
- Project scheduling, dependency analysis, critical path, float and Gantt planning.
- Testing documentation including BVA, equivalence classes and decision-table testing.
- Risk register, risk responses and closure/lessons learned.

4.2 Out of Scope

- Payment processing.
- Inventory management.
- Invoice management.
- Shipment tracking.
- Accounting or ERP integration.
- Mobile application.
- AI-based vendor assessment.
- Any other functionality not specified by the case study unless approved through change control.

5. Solution Overview

The proposed business workflow is:

Vendor Registration → Document Submission → Document Verification → Vendor Approval → PO Creation → Approval-Limit Check → Correct Approval Level → PO Approval → Vendor Acknowledgement → Audit Record

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6. High-Level Functional Scope

Area	Scope
Vendor Registration	Centralized registration and vendor information capture.
Document Management	Submission and verification of the required vendor documentation.
Purchase Orders	Creation and management of purchase orders.
Approval Workflow	Routing and authorization according to the four approval levels.
Vendor Acknowledgement	Vendor acknowledgement of approved purchase orders.
Auditability	Traceable records of relevant vendor and PO activities.

The detailed 12 functional requirements and 8 measurable non-functional requirements will be specified in the SRS.

7. Approval Policy

Level	PO Amount
Level 1	Up to ₹50,000
Level 2	Above ₹50,000 up to ₹2,00,000
Level 3	Above ₹2,00,000 up to ₹10,00,000
Level 4	Above ₹10,00,000

The application/process shall enforce the applicable approval level. Detailed boundary values, equivalence classes and decision-table tests will be documented in the Test Plan.

8. Stakeholder Roles & Governance

The case study states that Procurement, Finance and Audit each want to own the system. The following is a proposed governance arrangement for the project and should be confirmed through stakeholder discussion.

Role	Responsibility
Sponsor	Provides overall business direction and resolves cross-department conflicts.
System Owner – Proposed: Procurement	Owns day-to-day business ownership of vendor onboarding and PO operations.
Approval Authority – Finance / designated approvers	Owns or administers financial approval authority and approval limits.
Audit	Provides independent oversight of auditability, traceability and approval compliance.
Vendor	Uses the portal for registration, documentation and PO acknowledgement.

9. RACI Matrix

The RACI below is a proposed project-level allocation aligned with the governance model. It can be refined during the stakeholder workshop.

Activity	Sponsor	System Owner / Procurement	Finance	Audit	Vendor
Requirements workshop	A	R	C	C	C
Vendor registration process	I	A/R	C	C	R
Approval-limit policy	A	C	R	C	I
PO workflow	I	A/R	C	C	I
Approval control	I	C	A/R	C	I
Auditability requirements	I	C	C	A/R	I
Vendor acknowledgement	I	A/R	C	I	R
UAT / business acceptance	A	R	C	C	C
Go-live / onboarding drive	A	R	C	C	R

R = Responsible | A = Accountable | C = Consulted | I = Informed

10. Deliverables

Deliverable	Description
SRS Document	Scope, functional requirements, measurable NFRs, constraints, MoSCoW priorities and requirements traceability.
UML Package	Use case, class, sequence, activity and purchase-order state diagrams with cohesion/coupling justification.
Project Plan	WBS, network diagram, critical path, Gantt chart, milestones and resource allocation.
Stakeholder & RACI Chart	Stakeholder roles, interest/influence, expectations, communication and RACI.
Test Plan & Evidence	Test cases, BVA, equivalence classes, decision table, defect log, DRE and defect density.
Risk Register & Closure Note	Probability-impact analysis, exposure ranking, RMMM for top three risks and lessons learned.
VendorGate Prototype	Academic demonstration of the defined vendor and PO workflows using the agreed project scope.

11. Project Schedule & Milestones

The case study provides fixed activity durations and dependencies. These figures shall be used without alteration.

Activity	Duration	Predecessor
Requirements	8 days	None
Approval-limit policy sign-off	6 days	Requirements
Vendor registration module	14 days	Requirements
PO module	16 days	Approval-limit policy sign-off
Vendor acknowledgement	6 days	PO module
Testing	8 days	Vendor registration and Vendor acknowledgement
Vendor onboarding drive	15 days	Testing

The detailed forward pass, critical path, float calculations, delayed-policy analysis and Gantt chart will be contained in the Project Plan.

12. Milestones

Milestones will be represented as zero-duration checkpoints in the Project Plan. The milestone definitions will correspond to completion of major project activities rather than introducing additional durations.

13. Testing & Quality Assurance Approach

- Functional requirements will be traced to test cases.
- Boundary Value Analysis will be applied around each approval limit.
- Equivalence classes will be defined for PO amount routing.
- A decision table will be used to verify approval-limit routing.
- Defects will be maintained in a defect log.
- Defect Removal Efficiency and defect density will be calculated from the test evidence.
- Testing will occur after the vendor registration and vendor acknowledgement activities as specified by the case schedule.

14. Risk Management

Risk	Probability	Impact
Policy sign-off delayed	0.5	7
Vendors refuse to register online	0.3	6
Approval bypass	0.2	9
Ownership conflict	0.5	6

Risk exposure will be calculated as Probability × Impact. The detailed exposure ranking, response, owner and RMMM for the top three risks will be maintained in the Risk Register.

15. Assumptions

- The 850-vendor figure represents the vendor population stated by the case study.
- The existing vendor registration process involves 11 documents.
- The four approval levels supplied by the case study form the baseline for approval routing.
- Stakeholders will participate in requirements and governance activities.
- The case-study activity durations and dependencies are fixed inputs for project scheduling.

16. Constraints

- The supplied case-study figures must be used; alternative project figures must not be invented.
- Approval routing must follow the four levels provided in the case.
- The project must address the approval-control problem demonstrated by the 34 above-limit POs.
- All required case-study deliverables must be produced.

17. Dependencies

- Approval-limit policy sign-off depends on completion of Requirements.
- Vendor registration module depends on Requirements.
- PO module depends on Approval-limit policy sign-off.
- Vendor acknowledgement depends on the PO module.
- Testing depends on both Vendor registration and Vendor acknowledgement.
- Vendor onboarding drive depends on Testing.

18. Acceptance & Definition of Done

The project-level work will be considered complete when:

- The agreed business requirements are documented and approved.
- The required SRS and UML deliverables are complete and internally consistent.
- The project schedule, critical path, Gantt chart and milestones are documented.
- Stakeholder roles and RACI responsibilities are documented.
- Approval-limit routing is covered by systematic test cases and evidence.
- Defect log, DRE and defect-density calculations are completed from the test evidence.
- The risk register includes exposure, responses, owners and RMMM for the required top risks.
- The VendorGate prototype demonstrates the agreed core workflow.

19. Change Control

Any requirement or scope item not supported by the case study or the approved baseline should be treated as a change request. Changes should be reviewed for their effect on scope, schedule, requirements, testing and risk before being incorporated.

20. Communication & Reporting

Stakeholder	Information	Purpose
Sponsor	Overall progress, major risks, decisions and escalations	Governance and decision-making
System Owner / Procurement	Requirements, vendor workflow, PO workflow, progress and issues	Operational ownership
Finance	Approval policy, financial control and approval issues	Approval governance
Audit	Auditability, approval records, control findings and test evidence	Independent oversight
Vendors	Registration instructions, document requirements and PO acknowledgement process	Adoption and onboarding

The detailed frequency and communication source for each stakeholder will be finalized in the Stakeholder & RACI deliverable.

21. Closure

Project closure will include confirmation that the required documentation and prototype deliverables are complete, testing evidence has been recorded, risks and issues have been reviewed, and lessons learned have been documented.

22. Sign-Off

This SOW establishes the proposed scope, responsibilities, delivery approach and acceptance basis for the VendorGate academic project. The governance assignments marked as proposed are subject to stakeholder confirmation.

Role	Name	Signature	Date
Project Sponsor			
System Owner / Procurement			
Finance Representative			
Audit Representative			
Project Manager			